

THE COMPLETE

STOCK MARKET MASTERY ROADMAP

From Absolute Beginner to Professional Trader

Equities • Fundamental & Technical Analysis • Derivatives (F&O)
Risk & Psychology • Portfolio Management • Algo & Backtesting
India-focused • 4 Levels • 26 Chapters + Special Tracks

A structured, step-by-step training program
Prepared for Akanshu Jamwal

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Guide How to Use This Roadmap

This roadmap is a **complete curriculum**, not a reading list. It is built in four levels — Beginner, Intermediate, Advanced, and Professional — and every chapter follows the same four-part structure so you always know **what** to study, **why** it matters, and **how** to practise it.

KEY CONCEPTS

- **What to learn** — the exact topics and sub-topics for that chapter.
- **Key concepts** — the ideas you must be able to explain in your own words before moving on.
- **Practical exercises** — hands-on tasks. You do not "know" a topic until you have done these.
- **Real-world application** — how a working trader or analyst actually uses the topic.

THE ONE RULE THAT MATTERS

Do every level on a **simulator / paper account first**, then with small real capital (₹5,000–₹15,000), then scale. Knowledge without screen-time is theory. Screen-time without knowledge is gambling. You need both, in that order.

Because you already work at a trading platform and trade F&O, you may move through the Beginner level quickly — but do **not** skip it. Most F&O losses trace back to a shaky foundation (position sizing, order types, expiry mechanics), not to a missing "secret strategy." Treat Beginner and Intermediate as a diagnostic: if any exercise feels hard, that is your real gap.

Reading map at a glance

Level	Focus	Outcome you should reach
Beginner	Market mechanics, accounts, instruments, first analysis	Place any order type correctly; read a chart & a P&L statement at a basic level
Intermediate	Fundamental + technical analysis, trading styles, psychology, risk	Build a thesis for a stock and a rule-based trade plan with defined risk
Advanced	Derivatives, Greeks, option strategies, macro, portfolio	Run defined-risk option strategies and manage a diversified portfolio
Professional	Volatility, system building, algo, backtesting, taxation, business of trading	Operate as a systematic, risk-first trader with an edge you can measure

LEVEL 1

Beginner — Foundation

Suggested duration: 4–8 weeks (approx. 1–1.5 hours/day)

The goal of this level is fluency with **how the market physically works** — who the players are, what you can buy, how an order travels from your screen to the exchange and back, and how to open and operate an account without making costly clerical mistakes. No strategy yet. Plumbing first.

Chapter 1 How the Stock Market Works

WHAT TO LEARN

- What a share is: ownership, equity, why companies issue shares.
- Primary market (IPO, FPO, OFS, rights issue) vs secondary market (daily trading).
- The ecosystem: exchanges (NSE, BSE), regulator (SEBI), depositories (NSDL, CDSL), clearing corporations (NSE Clearing/ICCL), and brokers.
- Market participants: retail, HNIs, FIIs/FPIs, DIIs (MFs, insurers), proprietary desks, market makers, jobbers/arbitrageurs.
- Indices: what they are, how they are weighted (free-float market cap), and the key ones — Nifty 50, Sensex, Bank Nifty, Nifty Next 50, sectoral & broad-market indices.
- The trade lifecycle: order → matching engine → trade → clearing → settlement (T+1 in India), and the role of the demat account.

KEY CONCEPTS

- **Free-float market capitalisation** and why it, not price, drives index weight.
- **Rolling settlement & T+1:** when shares and money actually move.
- **Circuit limits / price bands**, upper & lower circuits, and index-level market-wide circuit breakers.
- The difference between a **broker** (your agent), the **exchange** (the marketplace), and the **clearing corporation** (the guarantor that removes counterparty risk).
- How **SEBI** protects investors: disclosure norms, insider-trading rules, margin rules.

PRACTICAL EXERCISES

- Draw the full path of a buy order from your app to settlement, labelling every entity it passes through.
- Open NSE India and list the current Nifty 50 constituents; note the top 5 by weight and which sector dominates.
- Find one recent IPO and identify its issue price, listing price, and listing-day gain/loss.
- Explain to a friend (or write 150 words) on why the index can rise while most stocks fall.

REAL-WORLD APPLICATION

- Understanding weighting explains why **Bank Nifty moves violently** — a handful of heavyweight banks dominate it, which matters enormously for F&O.
- Knowing T+1 settlement prevents the classic beginner error of assuming shares are sellable/transferable instantly.

BEGINNER MISTAKE TO PRE-EMPT

Confusing "the market" with "the index." The Nifty is 50 companies weighted by size; it is not a poll of all stocks. Your P&L is driven by **your** holdings, not the headline number.

Chapter 2 Getting Started — Accounts, Brokers & Orders

WHAT TO LEARN

- Demat vs trading account: what each one holds and does.
- Choosing a broker: discount vs full-service, brokerage & charges, platform quality, margin policy, product availability (equity, F&O, currency, commodity).

- Account opening & KYC: PAN, Aadhaar, bank linkage, in-person/e-KYC, nominee.
- Order types: **market**, **limit**, **stop-loss (SL)**, **stop-loss-market (SL-M)**, GTT/GTD, AMO, bracket & cover orders (where offered), and product types (CNC/delivery, MIS/intraday, NRML/carryforward).
- Reading a quote: LTP, bid/ask, depth (order book), volume, VWAP, day range, 52-week range, circuit limits.
- Understanding the contract note, ledger, and holdings statement.

KEY CONCEPTS

- **Bid-ask spread** and slippage — the hidden cost of market orders in illiquid names.
- **Limit vs market**: certainty of price vs certainty of execution — you rarely get both.
- How a **stop-loss actually triggers** (trigger price vs limit price) and why SL-M protects you in fast markets.
- Product tags decide leverage & auto-square-off: MIS is squared off intraday; CNC needs full cash; NRML carries F&O positions overnight.

PRACTICAL EXERCISES

- On a simulator, place one of each order type on the same liquid stock and record the fill price vs the price you intended.
- Deliberately place a limit buy **below** market and a limit sell **above** market; watch them rest in the order book.
- Read one real contract note and identify brokerage, STT, exchange fees, GST, stamp duty, and SEBI charges line by line.
- Set a GTT order to buy a stock 5% lower and observe how it behaves over a week.

REAL-WORLD APPLICATION

- Using **limit orders as standard** and market orders only for liquid instruments is a habit that quietly saves professionals thousands over a year.
- Knowing MIS auto-square-off timings prevents the shock of a forced exit at the worst possible moment.

TIP

Keep a "cost card": memorise the full charge stack on one delivery trade and one intraday trade. Most beginners underestimate how much STT + brokerage + slippage eats into small, frequent trades.

Chapter 3 Instruments & Asset Classes

WHAT TO LEARN

- Equity shares (common vs preference), and what "large / mid / small cap" means.
- Debt: bonds, G-Secs, T-bills, corporate bonds, and the basic idea of yield vs price.
- Mutual funds & ETFs: active vs passive (index funds), NAV, expense ratio; ETFs that trade like stocks.
- Derivatives overview: futures & options on indices and stocks (deep dive comes in Advanced).
- Other markets: currency (USDINR etc.), commodities (MCX — gold, crude, etc.), REITs & InvITs.
- IPO investing mechanics: RHP, price band, lot size, categories (retail/HNI/QIB), ASBA/UPI application, GMP (and why GMP is unofficial).

KEY CONCEPTS

- Risk-return spectrum across cash, debt, equity, and derivatives.
- Why **liquidity** differs enormously across instruments and why it should shape what you trade.
- The difference between an **index fund**, an **ETF**, and directly holding stocks.
- IPO valuation basics: is the issue priced for the company or for the promoters/selling shareholders (OFS component)?

PRACTICAL EXERCISES

- Compare a Nifty 50 index fund and a Nifty 50 ETF: expense ratio, tracking error, and how you buy each.
- Pull the RHP of one recent IPO and locate: objects of the issue, valuation (P/E vs peers), risk factors, and promoter holding post-issue.
- Build a one-page IPO checklist (business, financials, valuation, use of proceeds, red flags) — you will reuse it.

REAL-WORLD APPLICATION

- A disciplined **IPO checklist** turns applications from "apply for listing pop" into evidence-based decisions — the same discipline you would apply to any equity thesis.
- Knowing instrument liquidity tells you where slippage and gap risk live before you commit capital.

Chapter 4 First Look at Analysis**WHAT TO LEARN**

- The two lenses: **fundamental analysis** (what a business is worth) vs **technical analysis** (what price is doing).
- Top-down vs bottom-up thinking.
- Time horizons: investing vs positional vs swing vs intraday — and how the "right" lens changes with horizon.
- What moves prices in the short run (flows, sentiment, news) vs the long run (earnings, growth, interest rates).

KEY CONCEPTS

- Price = fundamentals + narrative + liquidity; each lens sees a different part.
- Why neither lens is "correct" — they answer different questions.
- Signal vs noise: most daily price movement is noise.

PRACTICAL EXERCISES

- Pick one company you use as a customer. Write half a page of a fundamental view and half a page of a technical view. Notice how differently you think.
- Track one stock for two weeks and journal every meaningful move with a one-line "why."

REAL-WORLD APPLICATION

- Professionals **combine** both: fundamentals for *what* to trade, technicals for *when* and *where* to enter/exit and place risk.

Chapter 5 Money, Risk & Mindset Basics**WHAT TO LEARN**

- Capital, risk capital, and the money you must never trade with (emergency fund, EMIs).
- The single most important beginner concept: **risk per trade** (e.g. 1% of capital) and basic position sizing.
- Expectancy in plain terms: win rate × average win vs loss rate × average loss.
- The psychology traps that hit beginners first: FOMO, revenge trading, over-trading, tip-chasing.
- Journaling: why a trade journal is non-negotiable from day one.

KEY CONCEPTS

- **Asymmetry**: you can be right less than half the time and still profit if winners are bigger than losers.
- Ruin risk: why a few oversized losses can end an account permanently.
- Process vs outcome: a good trade can lose; a bad trade can win.

PRACTICAL EXERCISES

- Compute your 1%-of-capital rupee risk. Then compute how many shares of a stock that lets you buy given a specific stop distance.
- Set up a trade journal (spreadsheet or Notion): date, instrument, thesis, entry, stop, target, size, result, and *what you felt*.
- Paper-trade 20 trades applying the 1% rule strictly. Do not aim to win — aim to *never break the rule*.

REAL-WORLD APPLICATION

- Every professional risk framework is just this chapter scaled up. If you internalise 1% sizing and journaling now, the rest of the roadmap compounds on solid ground.

THE THREE THAT END BEGINNER ACCOUNTS

- **No stop-loss** — "it will come back." Sometimes it does not, and the loss becomes un-recoverable.
- **Position too large** — one bad trade wipes weeks of gains because size was set by greed, not by risk.
- **No journal** — you cannot improve what you do not measure; you just repeat the same mistake with conviction.

LEVEL 2

Intermediate — Analysis, Styles & Discipline

Suggested duration: 2.5–4 months (approx. 1.5–2 hours/day)

Now you build the two analytical engines — **fundamental** and **technical** — and learn to choose a trading style that fits your time, temperament, and capital. This level ends with the two skills that separate survivors from casualties: **risk management** and **trading psychology**.

Chapter 6 Fundamental Analysis I — Reading the Financials

WHAT TO LEARN

- The three statements: **Income Statement** (P&L), **Balance Sheet**, **Cash Flow Statement**, and how they link.
- Income statement: revenue, COGS, gross/operating/net margins, EBITDA, EPS.
- Balance sheet: assets, liabilities, equity; working capital; debt vs cash.
- Cash flow: operating (CFO), investing (CFI), financing (CFF), and free cash flow (FCF).
- Reading an annual report: management discussion & analysis, notes to accounts, auditor remarks, related-party transactions.
- Quality-of-earnings red flags: rising profit but falling CFO, ballooning receivables, frequent "exceptional items."

KEY CONCEPTS

- **Accrual vs cash:** profit is an opinion, cash is a fact. FCF is where truth hides.
- Why **CFO should track net profit** over time — persistent divergence is a warning.
- The difference between a capital-light and a capital-heavy business, and what that means for returns.

PRACTICAL EXERCISES

- Take one company. Pull 5 years of P&L, balance sheet, and cash flow (Screener.in or the annual report) and put them side by side.
- Compute revenue CAGR, margin trend, and whether CFO grew with profit.
- Find one company where profit rose but operating cash flow fell — write down why that is a red flag.

REAL-WORLD APPLICATION

- This is the exact lens for **IPO evaluation and long-term investing** — you already do IPO analysis, so treat the RHP financials with the same rigour a fund analyst would.

Chapter 7 Fundamental Analysis II — Ratios & Valuation

WHAT TO LEARN

- Profitability & efficiency ratios: ROE, ROCE, ROA, asset turnover, operating margin.
- Leverage & liquidity: Debt/Equity, interest coverage, current & quick ratios.
- Per-share & market ratios: EPS, P/E, P/B, EV/EBITDA, dividend yield, PEG.
- The **DuPont** breakdown of ROE (margin × turnover × leverage).
- Valuation approaches: relative (multiples vs peers/history) and intrinsic (**DCF** basics, dividend discount).
- Growth vs value; cyclical vs defensives; quality investing.

KEY CONCEPTS

- **ROCE > cost of capital** is the core test of value creation.
- Why a low P/E is not automatically "cheap" (it can be a value trap) and a high P/E is not automatically "expensive."
- EV/EBITDA neutralises capital structure — useful when comparing companies with different debt.
- DCF is a **framework for thinking**, not a precise price; garbage-in, garbage-out on the assumptions.

PRACTICAL EXERCISES

- Build a one-page ratio scorecard for one company across 5 years and vs 2 peers.

- Do a simple 2-stage DCF in a spreadsheet; then change the growth and discount-rate assumptions by 1% and watch the "fair value" swing — internalise the sensitivity.
- Run a DuPont on a high-ROE company and identify whether the ROE comes from margins, turnover, or leverage (leverage-driven ROE is riskier).

REAL-WORLD APPLICATION

- This turns your IPO checklist into a **valuation verdict**: is this issue reasonably priced versus listed peers, or priced for perfection?

NOTE

Valuation tells you *what to own for years*; it rarely tells you *what to buy this week*. For timing, you need the next two chapters.

Chapter 8 Technical Analysis I — Charts, Structure & Price Action

WHAT TO LEARN

- Chart types: line, bar, and **candlestick**; timeframes and how they nest (multi-timeframe analysis).
- Market structure: higher-highs/higher-lows (uptrend), lower-highs/lower-lows (downtrend), ranges.
- Support & resistance, supply & demand zones, and role reversal.
- Trendlines, channels, and the concept of a **breakout / breakdown / retest**.
- Volume as confirmation; the idea behind VWAP for intraday.
- Candlestick patterns that matter: engulfing, pin bar/hammer/shooting star, doji, inside bar — and why context beats the pattern.

KEY CONCEPTS

- **Price action first, indicators second** — indicators are derived from price, not the other way around.
- A level matters because *participants remember it*, not because of magic — S/R is behavioural.
- Higher timeframe sets the bias; lower timeframe sets the entry.

PRACTICAL EXERCISES

- On TradingView, mark trend, key S/R, and one clean structure on 20 charts. Speed and consistency are the goal.
- Find 10 breakouts and 10 failed breakouts (fakeouts); note what volume did in each.
- Practise multi-timeframe: bias on the daily, entry on the 15-minute, on 5 examples.

REAL-WORLD APPLICATION

- Structure + S/R is where **stop-losses and targets physically live**. Good technicals are mostly about *where to place risk*, not about prediction.

Chapter 9 Technical Analysis II — Indicators & Patterns

WHAT TO LEARN

- Trend indicators: moving averages (SMA/EMA), MA crossovers, ADX.
- Momentum oscillators: RSI, Stochastic, MACD — and divergence.
- Volatility tools: Bollinger Bands, ATR (and ATR-based stops).
- Volume tools: OBV, volume profile basics.
- Chart patterns: head & shoulders, double top/bottom, triangles, flags, cup & handle, wedges.
- Fibonacci retracement/extension and pivot points (intraday).

KEY CONCEPTS

- Indicators **lag** (trend) or **oscillate** (momentum); pick the right tool for the regime — trending vs ranging.
- **Divergence** (price makes a new high, momentum does not) as an early-warning, not a trigger.
- ATR converts "how far is a sensible stop?" into an objective number.
- The danger of "indicator soup" — three confirming tools is plenty; ten is confusion.

PRACTICAL EXERCISES

- Backtest one simple rule by hand on 50 historical setups (e.g., pullback to 20-EMA in an uptrend with RSI reset). Record win rate and average R.
- Replace fixed-point stops with **1.5× ATR** stops on 20 charts and compare how often you would have been stopped prematurely.
- Spot 5 momentum divergences and mark whether price actually reversed.

REAL-WORLD APPLICATION

- This is the core toolkit for **swing and intraday** entries and for timing option trades around events.

INTERMEDIATE MISTAKE

Optimising indicators to fit the past ("curve-fitting"). If a rule only works with oddly specific settings, it is noise. Prefer robust, simple rules that work across many instruments and periods.

Chapter 10 Trading Styles — Intraday, Swing & Positional**WHAT TO LEARN**

- **Intraday**: definition, no overnight risk, needs liquidity & speed; scalping vs momentum vs breakout vs mean-reversion.
- **Swing**: days to weeks, capture a leg of a trend, overnight & gap risk.
- **Positional**: weeks to months, thesis-driven, wider stops, fewer trades.
- How style choice depends on time available, capital, temperament, and job constraints.
- Session structure: opening range, mid-day, close; the behaviour of each.
- Building a written **trading plan** for your chosen style: setup, entry trigger, stop, target, sizing, and no-trade conditions.

KEY CONCEPTS

- Each style is a different **business model** with different costs, screen-time, and edge sources.
- More trades ≠ more profit; frequency multiplies costs and mistakes.
- The best style is the one you can execute *consistently given your life*, not the most exciting one.

PRACTICAL EXERCISES

- Write a one-page trading plan for one style. Include exact entry, stop, and target rules — no vague words.
- Paper-trade that plan for 2 weeks, logging every deviation from the plan.
- Compute your costs per style over 30 hypothetical trades; see which style your cost structure actually favours.

REAL-WORLD APPLICATION

- Given a full-time job, **swing/positional** often fits better than pure intraday. Many working professionals build their edge here and use F&O selectively around it.

Chapter 11 Risk Management — The Core Skill**WHAT TO LEARN**

- Risk per trade & the 1–2% rule; position sizing from stop distance.
- The **R-multiple** framework: express every trade in units of risk (R).
- Risk-reward ratio and minimum acceptable RR for your win rate.
- Portfolio-level risk: max open risk, correlation risk, sector concentration, gross vs net exposure.
- Stop-loss discipline: hard stops, mental stops (and why they fail), time stops.
- Drawdown management: daily/weekly loss limits, scaling down after losses, circuit-breaker rules for yourself.
- Leverage: how F&O and MIS amplify both directions, and margin/liquidation risk.

KEY CONCEPTS

- **Survival first.** Returns are meaningless if the account can be wiped out.

- Expectancy = $(\text{Win}\% \times \text{avg win}) - (\text{Loss}\% \times \text{avg loss})$; a positive expectancy applied consistently is the whole game.
- Sequence-of-losses risk: even a good system has losing streaks — size so a normal streak cannot ruin you.
- Kelly-lite: bet more when edge is high, less when uncertain — but always fractional.

PRACTICAL EXERCISES

- Convert your last 30 (paper) trades into R-multiples and compute expectancy in R.
- Set explicit rules: max risk per trade, max daily loss, max open positions, max risk in one sector. Print them.
- Simulate a 6-loss streak at your position size — does the account survive comfortably? If not, cut size.

REAL-WORLD APPLICATION

- This is the chapter that keeps you in the game long enough for skill to matter. **Professionals are risk managers who happen to trade.**

THE R MINDSET

Stop thinking in rupees, start thinking in R. "I made 3R this week / I am down 2R today" removes emotion and makes results comparable across position sizes and instruments.

Chapter 12 Trading Psychology & Discipline

WHAT TO LEARN

- The core biases: loss aversion, recency bias, confirmation bias, gambler's fallacy, overconfidence, anchoring.
- Emotional cycle of a trade and of a losing streak; tilt & revenge trading.
- Discipline systems: checklists, pre-market routine, rules that remove in-the-moment decisions.
- Handling wins (euphoria → over-sizing) as carefully as losses.
- Detachment: trading the plan, not the P&L; process goals vs outcome goals.
- The role of sleep, breaks, and physical state in decision quality.

KEY CONCEPTS

- Most "strategy" failures are actually **execution** failures under emotion.
- You cannot eliminate emotion; you can build **systems that make emotion irrelevant** to the next click.
- A rule you break under pressure is not a rule — it is a suggestion.

PRACTICAL EXERCISES

- Add an emotion column to your journal. After 30 trades, correlate your worst results with specific emotional states.
- Write a pre-trade checklist and a "stop trading for the day" trigger. Follow both for 2 weeks.
- Identify your personal tilt trigger (a big loss? a missed move?) and write the exact action you will take when it appears.

REAL-WORLD APPLICATION

- The edge of a disciplined trader over an undisciplined one with the *same strategy* is enormous. This chapter is where most of your long-term money is made or lost.

INTERMEDIATE PITFALLS

- **Revenge trading** after a loss to "get it back" — usually turns one loss into three.
- **Moving your stop** to avoid being wrong — converting a small, planned loss into a large, unplanned one.
- **Over-trading out of boredom** — not every day has a setup; sitting on your hands is a position.

LEVEL 3

Advanced — Derivatives, Macro & Portfolio

Suggested duration: 3–5 months (approx. 2 hours/day)

This is where you move from single-stock thinking to the machinery of the market: **futures and options**, the **Greeks**, real option strategies, the macro forces that push whole markets, and how to run a **portfolio** rather than a pile of trades. Since you already trade F&O, treat this level as tightening a working skill into a rigorous one.

Chapter 13 Futures — Mechanics & Uses

WHAT TO LEARN

- What a futures contract is: obligation, lot size, expiry, tick size, underlying (index vs stock).
- Margins: SPAN + exposure, MTM (mark-to-market) settlement, margin calls.
- Contango, backwardation, basis, and the **cost-of-carry** model of fair value.
- Rollover: how and why positions move to the next series; rollover data as a sentiment signal.
- Uses: directional trading, **hedging** a cash portfolio, and calendar/basis spreads.
- Index futures (Nifty, Bank Nifty, FinNifty) vs single-stock futures.

KEY CONCEPTS

- Futures are **linear and leveraged**: you gain/lose the full move on the whole lot, with margin far smaller than notional.
- MTM means profit/loss is settled **daily** — leverage cuts both ways every single day.
- Basis and rollover reveal what large participants expect.

PRACTICAL EXERCISES

- Compute the notional value and required margin for one Nifty future; calculate your effective leverage.
- Track basis (future – spot) for one index across a week and note how it converges into expiry.
- Read the monthly rollover % and OI for one stock and interpret the sentiment.

REAL-WORLD APPLICATION

- Futures are the cleanest tool to **hedge overnight/positional risk** and to express a pure directional view without option decay.

Chapter 14 Options I — Foundations

WHAT TO LEARN

- Calls and puts; the four base positions (long call, long put, short call, short put) and their payoffs.
- Strike, premium, expiry, ITM/ATM/OTM, intrinsic vs time value.
- Buyer vs seller: limited risk/unlimited reward vs limited reward/large risk; probability differences.
- The option chain: OI, change in OI, volume, IV per strike; PCR (put-call ratio).
- Assignment, exercise, expiry settlement (cash-settled index vs physical-settled stock options in India).
- Weekly vs monthly expiries and their very different behaviour.

KEY CONCEPTS

- Options price **probability and time**, not just direction — you can be right on direction and still lose.
- Sellers collect **theta** but carry tail risk; buyers pay theta for convexity.
- The option chain is a map of where participants have positioned.

PRACTICAL EXERCISES

- Draw payoff diagrams for all four base positions by hand at expiry.
- On a live chain, identify max OI strikes and infer likely support/resistance and expected range.
- Buy 1 ATM option on a simulator and watch how its value changes with the underlying, time, and IV over 3 days.

REAL-WORLD APPLICATION

- Reading OI + IV + PCR before an event is how traders estimate the **market-implied range**, which anchors strike selection.

ADVANCED PITFALL

Naked option **selling** without defined risk (or without hedges) is how experienced traders blow up on a single gap. Never sell an unhedged option whose worst case you have not sized for.

Chapter 15 Options II — The Greeks**WHAT TO LEARN**

- **Delta** — directional exposure & rough probability of expiring ITM; position delta.
- **Gamma** — how delta changes; why gamma risk explodes near expiry and ATM.
- **Theta** — time decay; how it accelerates into expiry and who it helps/hurts.
- **Vega** — sensitivity to implied volatility; why vega matters most in longer-dated options and around events.
- **Rho** — interest-rate sensitivity (minor for short-dated).
- How the Greeks interact, and the idea of a **Greek-neutral** or delta-hedged book.
- Implied vs historical volatility; the IV term structure and volatility smile/skew.

KEY CONCEPTS

- Every option position is a **bundle of Greeks** — trade the Greeks, not just the direction.
- Short-gamma positions (option sellers) profit slowly and lose fast; long-gamma the reverse.
- **IV crush**: after an event, IV collapses and long options lose value even if direction was right.

PRACTICAL EXERCISES

- For one ATM option, record delta/gamma/theta/vega daily for a week; watch gamma & theta rise into expiry.
- Build a spreadsheet that sums position Greeks for a 2-leg spread.
- Find an event (earnings/policy) and observe IV rise before and crush after — quantify the premium lost to IV crush.

REAL-WORLD APPLICATION

- Greek awareness is what separates an option **trader** from a **gambler**. It tells you **why** a position is bleeding and how to fix it (add hedge, roll, cut).

Greek	Answers the question	Who it favours
Delta	How much do I make per 1 point move?	Directional traders
Gamma	How fast does my delta change?	Long options (helps buyers, hurts sellers)
Theta	How much do I lose per day to time?	Sellers (they collect it)
Vega	How much do I move per 1% IV change?	Long options in rising IV

Chapter 16 Options III — Strategies**WHAT TO LEARN**

- Directional with defined risk: **bull call / bear put spreads, bull put / bear call credit spreads**.
- Neutral / range: **short straddle & strangle, iron condor, iron fly**.
- Volatility: **long straddle/strangle** (long vol), calendar & diagonal spreads.
- Income & stock strategies: **covered call, cash-secured put**, protective put, collar.
- Ratio spreads and butterflies (intro).

- How to select strikes, width, and expiry for each; adjustments and rolling.

KEY CONCEPTS

- Spreads convert unlimited risk into **defined, sized risk** — the professional default.
- You are choosing a **view on direction AND volatility AND time** — every strategy is a bet on all three.
- Adjustment is a skill: knowing when to roll, hedge, or exit beats hoping.

PRACTICAL EXERCISES

- Paper-trade a bull put spread and an iron condor to expiry; log max profit, max loss, and breakevens *before* entering.
- Take one directional idea and express it three ways (future, long option, spread); compare risk, cost, and payoff.
- Build an adjustment plan for a short strangle: what you do if price approaches each strike.

REAL-WORLD APPLICATION

- Defined-risk spreads and condors are the **bread-and-butter of consistent option income** — high win-rate, capped loss, survivable through inevitable bad weeks.

Chapter 17 Advanced Technicals — Market Structure & Order Flow

WHAT TO LEARN

- Deeper price action: break of structure, change of character, liquidity sweeps, imbalance/fair-value gaps.
- Volume profile & market profile: value area, POC (point of control), high/low volume nodes.
- Open interest analysis for futures & options; OI + price interpretation (long/short buildup, unwinding).
- Intermarket & breadth: advance-decline, % above moving average, sector relative strength.
- Relative strength / rotation: buying strength, avoiding weakness.

KEY CONCEPTS

- Price shows *where*; volume/OI shows *conviction*; breadth shows *how broad* a move is.
- Structure gives objective, rule-based entries and invalidation levels.
- **Long buildup vs short covering** look similar on price but mean opposite things.

PRACTICAL EXERCISES

- Annotate 15 charts with volume profile; mark where price accepted vs rejected value.
- Build an OI-interpretation table (price up + OI up = long buildup, etc.) and classify 20 real examples.
- Rank sectors by relative strength weekly for a month; note whether leaders kept leading.

REAL-WORLD APPLICATION

- OI + price + volume is the core read for **Bank Nifty / Nifty index option** decisions and for timing directional futures trades.

Chapter 18 Macroeconomics & Market Drivers

WHAT TO LEARN

- Interest rates & central banks: **RBI** (repo, CRR, stance) and the **US Fed**; why rates move equities, bonds, and currencies.
- Inflation (CPI/WPI), GDP growth, IIP, PMI, and how data surprises move markets.
- Currency: USDINR, crude oil, and their impact on Indian equities (importers vs exporters, inflation).
- Liquidity & flows: **FII/DII flows**, global risk-on/risk-off, bond yields (US 10Y).
- Government policy, Union Budget, fiscal deficit; geopolitics and commodity shocks.
- The economic calendar and event risk (policy days, results season, expiry).

KEY CONCEPTS

- Markets trade **expectations vs reality** — the *surprise* versus consensus moves price, not the number itself.
- Rates are the gravity of asset prices; higher rates compress valuations.
- "Risk-on / risk-off" often overrides individual stock fundamentals in the short run.

PRACTICAL EXERCISES

- Maintain an economic calendar for one month; before each event, write the consensus and your expected market reaction, then review.
- Track FII/DII daily flows vs Nifty for a month; look for the relationship.
- Pick one macro shock (rate decision, crude spike) and trace its path through sectors.

REAL-WORLD APPLICATION

- Macro awareness stops you from being blindsided on **event days** and explains regime shifts that make a previously working strategy suddenly fail.

Chapter 19 Portfolio Management & Asset Allocation

WHAT TO LEARN

- Asset allocation: equity / debt / gold / cash / international; strategic vs tactical.
- Diversification & correlation; why uncorrelated bets reduce portfolio risk.
- Position sizing at the portfolio level; core-satellite construction (long-term core + tactical satellite).
- Rebalancing rules; when and how to trim winners and add to laggards.
- Risk metrics: volatility (std dev), **beta**, drawdown, Sharpe & Sortino ratios, alpha.
- Separating the **investing book** from the **trading book** (and F&O risk capital) — different rules, different accounts of the mind.

KEY CONCEPTS

- Allocation, not stock-picking, drives most of long-term return and risk.
- **Diversification is the only free lunch** — but only across genuinely uncorrelated assets.
- Rebalancing is a systematic "buy low, sell high" that removes emotion.

PRACTICAL EXERCISES

- Design a target allocation for your risk profile and horizon; write the rebalancing rule (bands or calendar).
- Compute the beta and rough Sharpe of a mock 5-holding portfolio.
- Separate your capital explicitly: long-term core, swing, and F&O risk capital — with a hard cap on each.

REAL-WORLD APPLICATION

- This is what keeps a good trader from letting **one leveraged blow-up** destroy years of investing gains — the two books are walled off.

TIP

Cap your total F&O/leveraged risk capital as a *fixed, small* slice of net worth (many pros keep it modest). The core long-term portfolio should never be collateral for a bad options week.

LEVEL 4

Professional — Systems, Edge & the Business of Trading

Suggested duration: Ongoing (6+ months to internalise; a career to master)

The professional level is not "more indicators." It is the shift from *taking trades* to *running a business*: a measurable edge, a repeatable system, disciplined execution, and hard-nosed accounting for taxes and costs. This is also where algo/automation and volatility become real tools rather than buzzwords.

Chapter 20 Volatility as an Asset & Advanced Greeks

WHAT TO LEARN

- India VIX: what it measures, how it moves, and how to use it for regime and sizing.
- IV rank / IV percentile: deciding when premiums are rich (sell) vs cheap (buy).
- Volatility term structure and **skew**; why puts usually cost more than calls.
- Second-order Greeks (intro): vanna, charm, volga — how vega & delta shift with vol and time.
- Delta-hedging a short-vol book; gamma-scalping intro.
- Event volatility: pricing earnings/policy moves and the mechanics of IV crush.

KEY CONCEPTS

- You can trade **volatility itself**, largely independent of direction.
- Sell premium when IV is historically high, buy convexity when it is cheap — and always size for the gamma tail.
- Skew encodes the market's fear; it is information, not noise.

PRACTICAL EXERCISES

- Track India VIX and IV rank of one index weekly for a month; tag each week as "sell vol" or "buy vol."
- Model a short strangle's P&L under a $\pm 3\%$ gap AND a 20% IV spike — see how vega and gamma combine against you.
- Paper-run a delta-hedged short straddle over an expiry; log the gamma/theta tug-of-war.

REAL-WORLD APPLICATION

- Regime-aware vol trading is the backbone of most **consistent income desks** — they sell expensive premium, buy cheap protection, and hedge the tail.

Chapter 21 Building a Trading System & Finding an Edge

WHAT TO LEARN

- What an "edge" actually is: a repeatable, positive-expectancy pattern with a logical cause.
- Components of a system: universe, setup, entry trigger, exit (stop + target), sizing, and regime filter.
- Discretionary vs systematic (rules-based); the spectrum between them.
- Sample size & statistical significance; why 20 trades prove nothing.
- Robustness: does the edge survive across instruments, periods, and small parameter changes?
- Documentation: writing the system as a checklist a stranger could follow.

KEY CONCEPTS

- An edge without **defined risk and sizing** is not a system — it is a hunch.
- The market pays for **discipline over a large sample**, not for being right on the next trade.
- Simplicity is robustness; complexity usually hides curve-fitting.

PRACTICAL EXERCISES

- Write one complete system on a single page. A friend should be able to execute it identically.
- Define, in advance, the metrics that would make you *stop* trading the system (edge decay).
- Trade it (paper then small) for 50+ occurrences before judging it.

REAL-WORLD APPLICATION

- A written system is what lets you scale size with confidence and diagnose a losing streak as "normal variance" vs "broken edge."

Chapter 22 Backtesting, Forward-Testing & Statistics**WHAT TO LEARN**

- Backtesting logic: in-sample vs out-of-sample, walk-forward, avoiding look-ahead & survivorship bias.
- Key metrics: expectancy, win rate, avg win/loss, profit factor, max drawdown, Sharpe/Sortino, CAGR, recovery time.
- The overfitting trap and how to guard against it (fewer parameters, out-of-sample validation).
- Forward-testing (paper) before real capital; then small real size before scaling.
- Tools: spreadsheet backtests, TradingView strategy tester/Pine Script (intro), and Python (pandas, backtrader/vectorbt) for the ambitious.
- Transaction-cost & slippage modelling — the difference between a backtest and reality.

KEY CONCEPTS

- A backtest is a **hypothesis**, not a promise. Costs, slippage, and psychology degrade live results.
- **Max drawdown** decides whether you can actually stay in a system emotionally and financially.
- Out-of-sample survival is the real test of an edge.

PRACTICAL EXERCISES

- Backtest one rule in a spreadsheet on 100+ historical signals with realistic costs; compute the full metric set.
- Split data: build on the first half, validate on the untouched second half. If it dies out-of-sample, discard it.
- (Optional) Reproduce the same test in Pine Script or Python to build tooling you can reuse.

REAL-WORLD APPLICATION

- Given your software background, a small **Python backtesting harness** is a durable competitive advantage — it turns "I think this works" into measured evidence.

NOTE

Rule of thumb: assume your live edge is meaningfully worse than your backtest after costs, slippage, and emotion. Build systems with margin to spare.

Chapter 23 Algorithmic & Automated Trading (Basics)**WHAT TO LEARN**

- What algo trading is (and is not); rule-based execution vs "AI that prints money" (myth).
- The stack: data feed → strategy logic → signal → order routing via **broker API** → risk checks → logging.
- Broker APIs in India (e.g., Kite Connect and similar); REST vs WebSocket for live data.
- Types: execution algos (TWAP/VWAP), signal automation, alerts-to-orders (e.g., **TradingView webhook** → **server** → **broker API**).
- Latency realities: retail is not HFT; focus on reliability, correct risk checks, and clean logging, not microseconds.
- Regulatory & practical guardrails: SEBI's stance on retail algos, kill-switches, position/loss limits in code.
- Paper-trading the algo and monitoring; never leave an unsupervised bot without hard risk limits.

KEY CONCEPTS

- Automation **amplifies your edge or your bug** — test relentlessly and code the risk limits first.
- A **kill-switch** and **max-loss guard** are more important than the strategy logic.
- Reliability and monitoring beat cleverness for retail algos.

PRACTICAL EXERCISES

- Diagram a TradingView-alert → webhook → Node/Express server → broker-API order flow, with a risk-check layer and a kill-switch.

- Build a paper-trading bot that only *logs* intended orders (no real execution) and audit its decisions for a week.
- Add hard limits in code: max daily loss, max positions, and an emergency square-off.

REAL-WORLD APPLICATION

- This aligns directly with your engineering skills. A well-tested **webhook-to-broker pipeline** with strict risk guards can execute a proven manual edge without emotion — but only after the edge is proven manually.

ADVANCED PITFALL

Automating an *unproven* edge just loses money faster and quieter. Prove it by hand and in forward-testing first. And never deploy a bot without a max-loss kill-switch that is tested to actually fire.

Chapter 24 Advanced Risk & Capital Management

WHAT TO LEARN

- Portfolio Greeks: managing net delta/gamma/vega/theta across all option positions at once.
- Correlation & concentration risk across a multi-position book; hidden "same-bet" exposure.
- Tail-risk & black-swan hedging: cheap OTM puts, position limits, gap-risk budgeting.
- Dynamic position sizing: volatility-based sizing, scaling with the equity curve, anti-martingale.
- Drawdown protocols: de-risk rules, "trading-halt" thresholds, and how to rebuild after a big loss.
- Leverage discipline and liquidity: never being forced to sell/liquidate at the worst moment.

KEY CONCEPTS

- At scale, you manage a **book of Greeks and correlations**, not individual trades.
- The rare **tail event** — not the daily noise — is what actually ends careers; budget for it explicitly.
- Protecting the equity curve (cutting size in drawdowns) is what allows long-term compounding.

PRACTICAL EXERCISES

- Aggregate net Greeks across a mock multi-leg book; stress-test it against a -5% gap with an IV spike.
- Write a drawdown protocol: at -X% cut size by half, at -Y% stop for the week. Commit to it in writing.
- Price a cheap tail hedge for your book and decide, deliberately, whether it is worth carrying.

REAL-WORLD APPLICATION

- This is the difference between a trader who has "a great year then a ruinous month" and one who compounds steadily for years.

Chapter 25 Taxation of Market Income (India)

Taxes and charges are a real, recurring cost — professionals plan for them. This is an educational overview of the Indian framework; **verify current rates and rules for the relevant financial year and consult a qualified CA/tax advisor** before filing, as rates and thresholds change with each Budget.

WHAT TO LEARN

- How different market income is classified: **LTCG/STCG on equity delivery**, **speculative business income** (intraday equity), and **non-speculative business income** (F&O).
- Holding-period rules that separate long-term from short-term capital gains on listed equity.
- F&O treated as a business: turnover computation, allowable expenses, and profit as business income.
- Set-off & carry-forward of losses (speculative vs non-speculative vs capital losses) and their limits.
- Advance tax obligations for traders; tax audit thresholds and presumptive taxation basics.
- Transaction-level charges: **STT/CTT**, exchange & SEBI fees, GST on brokerage, stamp duty — and their effect on net returns.
- Record-keeping: broker P&L / tax statements, ITR schedules relevant to capital gains and business income.

KEY CONCEPTS

- F&O income is generally **business income**, not capital gains — a different ITR treatment from delivery equity.
- Loss set-off rules can meaningfully change your effective tax; planning matters.

- Every trade carries a **fixed cost stack** regardless of profit — high-frequency, low-edge trading is quietly taxed to death.

PRACTICAL EXERCISES

- Download your broker's tax P&L for a period and categorise income into delivery capital gains, intraday speculative, and F&O business income.
- Estimate the total charges you paid over that period and express them as a % of gross profit.
- List the ITR form and schedules that would apply to your mix of activity (then confirm with a CA).

REAL-WORLD APPLICATION

- Accurate classification and loss carry-forward can legally reduce your tax; sloppy record-keeping does the opposite and invites scrutiny.

NOT TAX ADVICE

Rates, audit thresholds, and rules change frequently (often at every Union Budget). Treat this chapter as a map of *what to learn*, and always confirm specifics with a qualified professional for your financial year.

Chapter 26 The Business of Trading — Career, Review & Growth

WHAT TO LEARN

- Treating trading as a business: capital as inventory, edge as product, risk limits as operating policy.
- The trading review cycle: daily journal → weekly review → monthly stats → quarterly strategy audit.
- Metrics dashboard: expectancy, R-distribution, win rate, drawdown, adherence-to-plan %.
- Scaling capital responsibly as the edge and psychology prove out.
- Continuous learning: reading, post-mortems, and studying regime changes.
- Avoiding burnout; the long game; knowing when *not* to trade (no edge, wrong state, unclear regime).

KEY CONCEPTS

- Your **journal + stats** are the true product; the trades are just raw material.
- **Adherence to plan** is a better predictor of long-term success than any single month's P&L.
- Longevity beats intensity — the goal is to still be trading, with a bigger, safer account, in ten years.

PRACTICAL EXERCISES

- Build a monthly stats dashboard (expectancy, R-multiples, drawdown, plan-adherence %). Review it every month.
- Run a quarterly "strategy audit": what worked, what decayed, what to cut, what to scale.
- Define your capital-scaling ladder: the metrics that must hold before you increase size.

REAL-WORLD APPLICATION

- This cycle is exactly how professional desks operate. Adopt it early and you compound not just capital, but *skill* — measurably, month over month.

SPECIAL TRACK

F&O Mastery — Deep Dive

Suggested duration: Run in parallel with Levels 3–4

A consolidated, standalone track on derivatives — collecting the Greeks, strategies, risk, and mistakes in one place so you can return to it as a reference. This assumes you already trade F&O; the aim is to convert working knowledge into a rigorous, risk-first process.

F&O 1 The Greeks, Mastered

Trade the **Greeks**, not the ticker. Every position is a bundle of exposures; managing them deliberately is the whole discipline.

Greek	What it controls	Practical rule of thumb
Delta	Directional P&L per point; ~probability ITM	Keep net delta aligned with your actual view and sized to your risk
Gamma	Rate of change of delta; risk near ATM/expiry	Short-gamma bleeds fast on big moves — cut or hedge before expiry week
Theta	Daily time decay	Sellers earn it; buyers must overcome it — do not hold long options through dead time
Vega	Sensitivity to IV	Sell vol when IV rank is high, buy when low; beware IV crush after events
Rho	Interest-rate sensitivity	Minor for short-dated Indian options; mostly ignore intraday

- Always know your **net position Greeks**, not just each leg.
- Gamma and theta are opposites: the premium you collect (theta) is rent for the tail risk you carry (gamma).
- Vega dominates around **events**; direction can be right and the trade still lose to IV crush.

F&O 2 Strategy Playbook

Match the strategy to a **combined view on direction, volatility, and time** — and prefer **defined-risk** structures.

Strategy	Best when	Risk profile	Primary Greeks
Bull call / bear put spread	Moderate directional	Defined / defined	Delta
Bull put / bear call (credit)	Directional + high IV	Defined / defined	Theta, Delta
Long straddle / strangle	Big move expected, low IV	Defined / large	Vega, Gamma
Short straddle / strangle	Range-bound, high IV	Defined / large (naked)	Theta (short Vega/Gamma)
Iron condor / iron fly	Range-bound, high IV	Defined / defined	Theta (short Vega)
Calendar / diagonal	Time + vol view	Defined	Theta, Vega
Covered call / CSP	Own/willing to own stock	Stock-like	Theta

Strategy	Best when	Risk profile	Primary Greeks
Protective put / collar	Hedging holdings	Defined downside	Delta, Vega

STRIKE & EXPIRY SELECTION

- Use the **option chain's implied range** (OI + IV) to place short strikes beyond the expected move.
- For credit strategies, sell when **IV rank is high**; for debit/long-vol, buy when IV is cheap.
- Avoid holding **short-gamma** positions into the final expiry hours unless you are actively managing them.

F&O 3 Risk Management in Derivatives

- **Define max loss before entry** — every position should have a known, sized worst case.
- Prefer **spreads over naked options**; if selling naked, size for a gap several times larger than "normal."
- Cap total F&O risk capital as a small, fixed slice of net worth; never fund it from the long-term portfolio.
- Respect **margin & liquidity**: never be in a position where a margin call forces a bad-price exit.
- Have adjustment rules ready (roll, hedge, cut) *before* the trade goes against you — decisions made calm beat decisions made scared.
- Budget explicitly for **gap risk and IV spikes**, especially around results, policy, and expiry.

F&O MISTAKES THAT BLOW UP ACCOUNTS

- **Naked short options** into an event — one gap can exceed months of premium collected.
- **Buying cheap OTM options as lottery tickets** — theta and low probability grind them to zero.
- **Ignoring IV** — buying rich premium before an event, then losing to IV crush despite being right on direction.
- **Over-leveraging** because "margin is available" — available margin is not a suggestion to use it all.
- **No adjustment plan** — hoping a losing short strangle "comes back" instead of managing it by rule.
- **Holding short-gamma into expiry** — pin/gamma risk turns a calm week into a violent one.

PRACTICE

Daily & Weekly Routine of a Profitable Trader

Consistency is manufactured by routine, not willpower. Adapt this to your job and chosen style; the structure matters more than the exact times.

Routine 1 Daily Routine

Pre-market (before the open)

- Review the **economic calendar** and any events today (results, policy, expiry).
- Check global cues: US close, SGX/GIFT Nifty, crude, USDINR, India VIX.
- Mark key levels on your instruments (S/R, prior day high/low, VWAP reference, OI walls).
- Write your **bias and plan**: what you are watching, entry/exit levels, and max risk for the day.
- Confirm your daily loss limit and how many trades you will allow yourself.

During market hours

- Trade **only your setups**; if there is no setup, take no trade (sitting out is a valid, skilled decision).
- Execute by checklist; place the stop *with* the entry, never after.
- Stop for the day if you hit your loss limit — no exceptions, no revenge trades.
- Avoid the low-quality mid-session chop unless your style specifically targets it.

Post-market

- Journal **every** trade: thesis, entry, stop, target, size, result in R, and your emotional state.
- Screenshot 1–2 trades and annotate what you did well and what you would change.
- Note tomorrow's watchlist and events. Then switch off — recovery is part of the edge.

Routine 2 Weekly & Monthly Routine

Weekly

- Review all trades in R; compute weekly expectancy and plan-adherence %.
- Study the market regime: trending vs ranging, IV environment, sector rotation.
- Prepare a fresh watchlist and refresh higher-timeframe levels.
- Deliberate practice: replay 20–30 historical charts of your setup to keep pattern recognition sharp.

Monthly

- Update your **stats dashboard**: expectancy, win rate, avg R, max drawdown, best/worst setups.
- Cut or reduce your worst-performing setup; scale your best (only if the sample is large enough).
- Reconcile costs & (roughly) taxes; check that trading frequency is justified by edge.
- Read/learn one new topic and write a short post-mortem of the month's biggest lesson.

THE 3 NON-NEGOTIABLES

- Every trade has a **pre-defined stop and size**.
- Every trade is **journalled**.
- You **stop** at your daily loss limit, always.

REFERENCE

Mistakes by Level — A Field Guide

Most losses are not exotic. They are the same handful of errors, repeated. Read this list periodically; it is a mirror.

M1 Beginner Mistakes

- Trading without a stop-loss or without knowing max loss.
- Position sizing by greed instead of by a fixed risk % of capital.
- Chasing tips, hype, and "sure-shot" calls; no independent thesis.
- Over-trading and confusing activity with progress.
- No journal — so the same mistakes repeat invisibly.
- Underestimating charges/STT on frequent small trades.

M2 Intermediate Mistakes

- Curve-fitting indicators to past data; "indicator soup."
- Moving stops to avoid being wrong; turning small losses into big ones.
- Revenge trading and tilt after a loss.
- Ignoring the higher-timeframe trend and market regime.
- Risking too much per trade relative to a realistic losing streak.
- Style-hopping — abandoning a system after a normal drawdown.

M3 Advanced & F&O Pitfalls

- Naked option selling with un-sized tail risk.
- Ignoring IV / getting caught in IV crush around events.
- Over-leveraging because margin is "available."
- Holding short-gamma positions into expiry without active management.
- No portfolio-level view of net Greeks and correlated exposure.
- Automating an unproven edge; deploying algos without a kill-switch.
- Letting a leveraged blow-up bleed into the long-term investment book.

RESOURCES

Books, Courses, Tools & Platforms

A curated (not exhaustive) starting set. Prioritise depth over quantity — read a few books thoroughly and apply them, rather than skimming many.

R1 Recommended Books

Foundation & investing

- **The Intelligent Investor** — Benjamin Graham (mindset, margin of safety).
- **One Up on Wall Street** — Peter Lynch (bottom-up equity thinking).
- **The Little Book of Valuation** — Aswath Damodaran (accessible valuation).
- **Coffee Can Investing** — Saurabh Mukherjea (India-specific long-term investing).

Technical analysis & price action

- **Technical Analysis of the Financial Markets** — John Murphy (the standard reference).
- **Japanese Candlestick Charting Techniques** — Steve Nison.
- **Trading in the Zone** — Mark Douglas (psychology; essential).

Derivatives, risk & systems

- **Options, Futures, and Other Derivatives** — John Hull (rigorous reference).
- **Option Volatility and Pricing** — Sheldon Natenberg (the trader's options bible).
- **Trading and Exchanges** — Larry Harris (market microstructure).
- **Reminiscences of a Stock Operator** — Edwin Lefèvre (timeless psychology).
- **Fooled by Randomness** / **The Black Swan** — Nassim Taleb (tail risk & luck).

R2 Free & Paid Learning Resources

- **Zerodha Varsity** — free, comprehensive, India-specific; arguably the best free curriculum for Indian markets.
- **NSE / BSE investor education** and **SEBI investor materials** — authoritative on rules, margins, and mechanics.
- **Investopedia** — quick reference for definitions and concepts.
- **Damodaran Online** (Aswath Damodaran) — free valuation lectures and datasets.
- **Quality YouTube** — prefer channels focused on process, risk, and mechanics over "calls." Verify claims; avoid guaranteed-return content.
- **Broker research & webinars** — useful, but read critically; they have incentives.

CAUTION

Be ruthless about avoiding "guaranteed profit," paid-tip, and get-rich-quick content. If a resource sells certainty, it is selling you, not teaching you.

R3 Tools & Platforms

Category	Examples	Use
Charting	TradingView, ChartIQ	Charts, indicators, alerts, Pine Script backtests
Broker / execution	Zerodha (Kite), Upstox, Dhan, Fyers, Angel One	Order placement, margins, product types, APIs
Fundamentals & screening	Screener.in, Tickertape, Trendlyne	Financials, ratios, screens, peer comparison
Options analytics	Sensibull, Opstra, Quantsapp	Payoffs, Greeks, IV/OI, strategy builder

Category	Examples	Use
Data / OI / flows	NSE India, exchange OI data, VIX	OI, PCR, rollover, FII/DII flows, India VIX
Backtesting / algo	Pine Script, Python (pandas, backtrader/vectorbt), broker APIs	Systematic testing and automation
Journaling	Spreadsheet, Notion, dedicated trade journals	Logging, R-analysis, stats dashboard

NOTE

Tools listed for education only — this is not an endorsement. Compare current charges, features, reliability, and margin policies yourself before choosing.

PATH

Suggested Learning Timeline

A realistic path for a working professional putting in ~1.5–2 focused hours on weekdays plus review on weekends. Adjust to your pace — mastery is measured in reps and reviewed trades, not months.

Phase	Window	Focus & milestone
Phase 1	Month 1–2	Beginner level: mechanics, accounts, instruments, first analysis, 1% risk & journaling. Milestone: place every order type correctly; journal live.
Phase 2	Month 3–6	Intermediate: fundamental + technical analysis, pick a style, risk & psychology. Milestone: a written, rule-based plan traded on paper with defined risk.
Phase 3	Month 6–11	Advanced: futures, options, Greeks, defined-risk strategies, macro, portfolio. Milestone: run defined-risk option strategies; manage a diversified book.
Phase 4	Month 12+	Professional: volatility, system-building, backtesting, algo, advanced risk, taxation, business cycle. Milestone: a measured edge and a monthly stats dashboard.

BECAUSE YOU ALREADY TRADE F&O

Compress Phases 1–2 into a rapid diagnostic (2–4 weeks) but do not skip the exercises on **risk sizing, journaling, and psychology** — that is where most F&O traders have their real gap, not in strategy knowledge.

CLOSING

Final Word — How to Actually Get Good

The syllabus is the easy part. The edge comes from execution.

- **Survival before returns.** Manage risk first; profits are what is left after you have not blown up.
- **Think in R and probabilities**, not in rupees and certainties.
- **Journal everything.** Your journal is the single highest-ROI tool in trading.
- **Master one style and a few setups** deeply before adding more.
- **Prove edges by hand** before automating or scaling them.
- **Separate your books:** long-term investing vs trading vs F&O risk capital, with hard caps.
- **Play the long game.** The goal is to still be here — larger, calmer, and more skilled — in ten years.

DISCLAIMER

This document is an educational roadmap, not investment, trading, legal, or tax advice. Markets carry risk of loss, and F&O/leverage can lose more than your initial capital. Do your own research, practise on a simulator, start small, and consult SEBI-registered professionals and a qualified CA where relevant. Rules, rates, margins, and platform features change — always verify current specifics.